

**BEFORE THE
FEDERAL MARITIME COMMISSION**

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

**SUPPLEMENT TO PRPA’S REPLY TO OPPOSITION
TO PRPA’S MOTION TO STAY PROCEEDINGS**

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the “PRPA”), through its undersigned counsel, and respectfully states and requests as follows:

I. Introduction

Yesterday, PRPA filed its “Reply to Opposition to PRPA’s Motion to Stay Proceedings,” in support of its request for “stay” of the proceedings. That said, PRPA wishes to add an important distinction between the *Grajales v. Puerto Rico Ports Authority*, 831 F.3d 11 (1st Cir. 2016), and this case, other than just the topics they address (labor and employment issues vis-à-vis matters of National security). That is, that the *Grajales* Court considered PRPA’s functions and structure solely pursuant to its Organic Act, PRPA’s Organic Act, P.R. Laws Ann. Tit. 23§ 331, *et. seq.*

However, here this Honorable Commission and the *Dantzler* Court must consider PRPA’s responsibilities and structural indicators under both its Organic Act and Act No. 12 of February 18, 2008 (“Act 12”), 23 P.R. Laws Ann. §§ 3221 *et seq.* It is noteworthy that the Puerto Rico

Supreme Court also considered both statutes when recently ruling in *Cámara de Mercadeo, Industria y Distribución de Alimentos v. Autoridad de los Puertos*, CC-2018-600. (See, Exh. B to PRPA's Reply.) We proceed to outline what that joint statutory consideration means.

II. PRPA meets each of the required structural indicators.

In *Fresenius Medical Care Cardiovascular Resources, Inc., v. Puerto Rico & Caribbean Cardiovascular Center Corp.* 322 F.3d 56 (1st Cir. 2003), the First Circuit Court laid out a refined, two-step approach to analyze arm of the state cases. The first step focuses on how the state has structured the entity at issue, focusing on four structural indicators: (i) "how state law characterizes the entity[;]" (ii) "the nature of the functions performed by the entity[;]" (iii) "the entity's overall fiscal relationship to the Commonwealth[;]" and (iv) "how much control the state exercises over the operations of the entity." *Id* at 68. *Grajales* at 18.

If the structural indicators point in different directions, then the Commission must determine whether there is a risk that the damages will be paid from the public treasury. *Fresenius* at 68. PRPA meets the structural indicators required by *Fresenius*.

1. Act 12 re-characterized PRPA's mission and responsibilities, expanding upon the structure provided by PRPA's enabling act

The first *Fresenius* structural indicator broadly considers "how state law characterizes the entity." *Grajales* at 18. It is noteworthy that the *Grajales* case mentions "how states law characterizes the entity," rather than how the "organic act characterized the entity." Here, "state law" entails both the enabling act and Act 12. That position is consistent with the Supreme Court decision in *Hess v. Port Authority Tarns-Hudson Corporation*, which considered, *inter alia*, how the enabling and implementing legislation characterized an entity at issue in that case. 513 U.S. 30, 44 (1994).

Thus, nothing in the relevant case law suggests that this first inquiry must be strictly limited to an enabling act. It is certainly logical that just as a State may waive its sovereignty in certain cases, it too may re-characterize (through special statutes) its instrumentalities over time to engage on certain instances in purely governmental matters subject to immunity.¹

An in-depth analysis of Act 12 would certainly tip the balance in favor of PRPA's position that it is an arm of the state. Note that Act 12's clear public policy statement confirms that "...the Ports Authority shall implement a fast track evaluation model for the goods entering the Island by sea...[,] "designed so as to limit delays in the fast flow of the cargo to a minimum." 23 PR Laws Ann. § 3222. Consistent with this goal, the Puerto Rico Legislature further instructed that "...the maritime ports of Puerto Rico shall comply with all the federal provisions described in the MTSA...(,)" *Id*, which focus, *inter alia*, on significant areas requiring governmental improvement:

(1) Ports often are major locus of Federal crime, including drug trafficking, cargo theft, and smuggling of contraband and aliens.;

(2) Ports are often very open and exposed and are susceptible to large scale acts of terrorism that could cause a large loss of life or economic disruption.;

(3) Current inspection levels of containerized cargo are insufficient to counter potential security risks. Technology is currently not adequately deployed to allow for the nonintrusive inspection of containerized cargo.; and,

(4) Securing entry points and other areas of port facilities and examining or inspecting containers would increase security at United States ports.

¹ PRPA is not claiming that the analysis must be based exclusively on Act 12. Instead, PRPA's position is simply that the more specific statute (Act 12), governs over the more general (PRPA's enabling act). *See Fresenius* at 70 (citing *In re Weinstein*, 272 F.3d 39, 43 (1st Cir. 2001))("...it is a maxim of statutory construction that the more specific statute, here PRCCCC's enabling act, governs over the more general, such as the definitions in § 3022 [of the Puerto Rico Penal Code]"). Given that Act 12 entrusted PRPA with more specific functions than those detailed in its enabling act, its provisions should be afforded more weight for purposes of the present analysis.

46 U.S.C. §§ 70101(6), (7), (8) & 10. (Emphasis added)

In sum, Act 12's express provisions and those of the Congressional legislation adopted by it, significantly modified PRPA's mission to also include: (1) "[m]aintaining maritime transport routes open [for the] survival [of] the People of Puerto Rico" 23 PR Laws Ann. § 3222; (2) implementing a fast-track evaluation model of maritime cargo entering Puerto Rico, "especially in the context of [a] terrorism threat"; *Id*; (3) acquiring and operating new technology for the nonintrusive inspection of containerized cargo that secures the free flow of cargo and maintains transportation routes open; (4) implementing enhanced security measures to curtail trafficking of drugs and contraband; and (5) implementing measures to increase the central government's ability to collect taxes on imported goods.

Accordingly, Act 12 and the relevant implementing agreements, such as the *Memorandum of Understanding*, dated February 16, 2011, cited by Toyota de Puerto Rico, Inc. ("Toyota") as Exh. 2 of its Opposition to PRPA's Motion to Stay, characterize PRPA as a key governmental entity actively assisting the Commonwealth in matters directly impacting the fisc (by helping detect undisclosed taxable items) and in matters directly affecting the security and safety of millions of US citizens (by implementing technology to limit potential trafficking of contraband and terrorist attacks). This is a significant re-characterization of PRPA as a governmental unit (for purposes of this case) with much more on its plate than the general, day-to-day matters of managing a maritime port.

2. PRPA is carrying out purely governmental functions in this case.

Regarding *Fresenius'* second structural indicator, it is uncontested that PRPA's functions under Act 12 are quintessential governmental functions.

It is noteworthy that Toyota does not question Puerto Rico's powers to create hybrid entities with sovereign-type functions in certain cases. Neither does it contest that PRPA's functions in this case are classic responsibilities of a sovereign. All Toyota is doing is questioning whether PRPA, as a matter of law, can implement the scanning program at issue. In any case, on September 11, 2019, the Puerto Rico Supreme Court, in *Cámara de Mercadeo, Industria y Distribución de Alimentos v. Autoridad de los Puertos, Supra*, decided that the PRPA did possess such authority. (See, Exh. B to PRPA's Reply.)

Further, PRPA's authority to implement the cargo scanning program is well settled. See *Cámara de Mercadeo v. Vazquez*, 2013 WL 5652076 (confirming the constitutionality of PRPA's implementation of the scanning program); *Industria y Distribución de Alimentos v. Trailer Bridge*, 797 F.3d 141 (1st Cir. 2015) (affirming that the dormant Commerce Clause does not bar PRPA from charging an additional fee to defray the costs of the scanning); and multiple state court decisions sanctioning PRPA's implementation of the scanning program.²

Considering the aforementioned, there is significant support for PRPA's argument that it is a hybrid entity engaged in strict governmental functions subject to sovereign immunity.

3. PRPA has a close fiscal relationship with the Commonwealth for purposes of the scanning program.

Regarding the third *Fresenius* structural indicator, it looks "at the overall fiscal relationship and not narrowly at whether the Commonwealth would be liable for damages in this action." *Grajales* at 24. As part of the analysis, the Commission should consider, *inter alia*, "whether the

² See *Cámara de Mercadeo, Industria y Distribución de Alimentos v. Autoridad de los Puertos*, KLRA201601280 (P.R. Ct. of App., March 20, 2017); and *Cámara de Mercadeo, Industria y Distribucion de Alimentos v. Autoridad de los Puertos*, KLAN201601673 (P.R. Ct. of App., February 28, 2018).

agency has the funding power to enable it to satisfy judgments without direct state participation or guarantees,” “whether and to what extent the entity receives state funding and support,” and “whether the state has immunized itself from responsibility for the agency’s actions and omissions”. *Id.*

Although by design PRPA’s general operations enjoy fiscal independence from the Commonwealth, **such is not the case when it comes to the scanning program**. We focus on the scanning program, which makes sense for hybrid instrumentality such as PRPA, since otherwise no hybrid entity by definition would ever be able to invoke arm-of-the-state status where some (or a good portion) of its responsibilities are financially separate and apart from the main government.³ Accordingly, just as a state may waive its immunity in certain instances, it too may re-work its fiscal relationship in certain cases to have much closer fiscal ties with certain governmental instrumentalities. Such is the case here.

Act 12 expressly recognized that the Commonwealth’s full financial backing was available to support the scanning program *once* all available private and federal resources have been exhausted. PRPA, accordingly, was tasked with implementing and *financing* the program, with the Commonwealth’s promise to step in, should it be necessary. This shows how the overall financial structure of the scanning program is closely aligned between the Commonwealth and its arm, PRPA. Act 12’s relevant portion reads as follows:

For compliance with this chapter, the credit or power to levy taxes of the Commonwealth of Puerto Rico or of any of its political subdivisions shall not be pledged nor made liable for the payment of the principal of any loans, guarantees or bonds issued by any entity, nor shall any public funds of the General Budget approved by the Legislature be used, **unless** every possibility of federal funding

³ This is also consistent with the limited inquiry ordered by the Supreme Court in *Thacker, supra*.

and/or private funds has been previously consumed or exhausted, and it can thus be documented.

32 P.R. Laws Ann. § 3223. (Emphasis added.)

Put differently, to ensure compliance with Act 12's mandate, the Commonwealth effectively **agreed** to pledge its credit and power to levy taxes, **agreed** to be made liable for the payment of the principal of any loans, guarantees or bonds of PRPA (or any of the Commonwealth's entities), and **agreed** that funds of the General Budget be used to finance the scanning program, **provided** that PRPA exhausted every possibility of public or private funding. Had PRPA been exclusively responsible for the program—as a typical “separate and apart” public corporation would be—the Commonwealth would have not accepted Section 3223's economic burden. This fiscal commitment (and alignment of economic interests) speaks volumes.

In sum, should PRPA be unable to finance the program through user fees or other alternatives, the Commonwealth must finance it or move to repeal Act 12, exposing the Commonwealth's maritime port to pre-September 11 security and safety measures and weakening Treasury's ability to thwart tax evasion on imported goods. The fiscal impact to the Government, therefore, is direct and significant, particularly in times of historic financial constraints.

4. The Commonwealth's control over PRPA is undisputed

The last structural indicator concerns the extent of the Commonwealth's control over PRPA. *Grajales* concludes that “unlike the other indicators...considered, this one does weigh rather strongly in favor of concluding that PRPA is an arm of the Commonwealth.” *Grajales* at 28. As discussed in *Grajales*, the Commonwealth closely supervises PRPA's operations, appoints the majority of PRPA's board members, and subjects PRPA to a variety of controls.

III. Conclusion

Although this explanation may seem extensive and to the merits of the case, PRPA includes it in order to explain why the *Grajales* case is different from this one, and to show that PRPA has a high likelihood of prevailing on the merits of its sovereign immunity argument. Such is an important element of the request for “stay.”

Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys of record, who are counsel for **Toyota de Puerto Rico Corp.:**

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RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 17th day of December, 2019.

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